

Document Title:	Contractor's All Risk Insurance (CARI) Acquisition Through Tiger Resort, Leisure and Entertainment Inc. (TRLEI)
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1.0 REFERENCE SOP or GUIDELINE:

- 1.1 Bidding and Negotiation (SCD-PSP-PRT-GL-001)
- 1.2 Requirement Analysis and Contract Drafting (SCD-BPT-CMT-WI-001)

2.0 DEFINITION OF TERMS:

- 2.1 **Contractor's All Risk Insurance (CARI)** – is designed to offer comprehensive protection against losses to contract works, construction site and equipment, construction machinery and liability to third-party. It also provides financial stability to all parties in the construction contract. The equipment and machinery details stated herein are subject to declaration to the Insurer. This is a typical add on (not a standard cover) to the CARI policy.
- 2.2 **Insurance Policy** – is a contract between the Insurer and the Policy Holder, which determines the claims which the insurer is legally required to pay.
- 2.3 **Insurance Premium** – equates to the money that is paid by the company for availing of an insurance policy.
- 2.4 **Insurer** - is the entity that accepts the risk and promises to pay for the losses that arise within the policy term. The insurer commits to pay for loss in exchange of the premiums, paid regularly.
- 2.5 **Insured / Policyholder** – is the company who is covered against risk.

3.0 RESPONSIBILITY / PROCEDURE:

- 3.1 **Procurement / Buyer**
 - 3.1.1 Computes the Premium using the Insurance Premium Calculator, if the project amount is not more than PHP 20 Million, Otherwise, Buyer shall directly request for quotation from the Insurer.
 - 3.1.2 Once Insurance Premium is calculated, Buyer shall request for a quotation from the Insurer providing the final scope of works and project cost.
 - 3.1.3 Upon receipt of the quotation from the Insurer, Buyer shall review the calculated Insurance Premium versus quotation submitted by the Insurer.
 - 3.1.4 If amount is matched, Buyer to add the Insurance Premium in the total cost of the project that will be reflected in the Bid Tabulation Template and shall be included in the Execution Ringi amount.
 - 3.1.5 Once all internal processes are complied, Buyer shall release a Purchase Order (PO) to Insurer (amount should be based from the quotation).
 - 3.1.6 Receives the Insurance Policy or Certificate of Coverage from the Insurer.

- 3.1.7 Reviews the details of the Insurance Policy or Certificate of Coverage prior submission to Risk Management Team and Business Unit (BU) for its review and confirmation.
- 3.1.8 Upon receipt of the Invoice corresponding to the issued Insurance Policy, Buyer shall transmit the Risk Management Confirmation, Invoice and Insurance Policy or Certificate of Coverage to Receiving for payment posting.

3.2 Insurer

- 3.2.1 Submits quotation to the Buyer, this should be equal to the result using the CARI Premium Calculator.

Sample CARI Premium Calculator:

OKADA MANILA		
OPEN CARI WITH TPL		
Premium Calculator		
Total Contract Value		1,594,117.59
Premium Rate		0.135%
Basic Premium		8,686.85
Documentary Stamp Tax	12.50%	1,086.00
Value Added Tax	12.00%	
Local Government Tax	0.20%	17.37
Total Premium		9,790.23
TOTAL PREMIUM		9,790.23
<i>*In an event of a Total Contract Value higher than PHP 20,000,000.00, this needs to be re-confirmed by the</i>		

- 3.2.2 The Insurer reserves the right to amend the terms/rate should they deem the project/works to be relatively more complicated than the usual.
- 3.2.3 Receives and acknowledges the PO for CARI Coverage.
- 3.2.4 Issues the Insurance Policy and/or Certificate of Coverage, as applicable. Turn-around time should be within 1-2 days upon submission of the complete underwriting information and complete client data form.
- 3.2.5 Submits Invoice relevant to the issued Insurance Policy or Certificate of Coverage to the Buyer.

3.3 Risk Management Team

- 3.3.1 Reviews the submitted Insurance Policy or Certificate of Coverage.
- 3.3.2 Ensures that CARI coverage adheres to Risk Management Department's Insurance Standards (RMD Vendor Insurance Bond Guidelines – CEAR-CARI 2023).
- 3.3.3 Advises the Insurer in case of discrepancies and unmatched information.
- 3.3.4 If everything is in order, confirm and advise Buyer accordingly.

3.4 Business Unit (BU)

- 3.4.1 Raises the Purchase Requisition (PR) for the CARI Coverage of the project.
- 3.4.2 In-charge of safekeeping the Insurance Policy or Certificate of Coverage, as applicable.

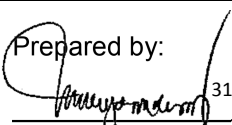
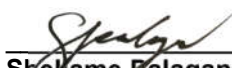
3.5 Receiving Team

(Please refer to SCD-WRL-WHS-GL-007, Receiving of Goods)

4.0 FORMS: N/A

5.0 REVISION HISTORY:

Revision No.	Effective Date	Reason of Revision	Prepared by	Reviewed by	Approved by
00	01-Apr-2023	Initial	M. Arao	S. Palaganas	M. Bonifacio

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